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Local funds at risk with $28 billion exposure

Nvidia plunge

Alex Gluyas

Australian investors own at least $28 billion in Nvidia shares and are bracing for more turbulence after a brutal one-day sell-off in the market darling sent the value of stakes held by local superannuation funds and investment managers plunging by more than $5 billion.

But retail shareholders have seen an opportunity to buy into the hot chipmaker, with popular exchange-traded funds focused on the Nasdaq recording big inflows. Betashares, for instance, said money flowing into its Nasdaq tracker represented over 10 per cent of all buying of its funds.

Australian superannuation funds in particular have ridden Nvidia's 600 per cent share price surge, with demand for the chipmaker's stock buoying the entire market. Nvidia's high-powered chips underpin many of the artificial intelligence models being developed by companies such as OpenAI.

The arrival of DeepSeek, a Chinese rival that has promised to replicate the power of Silicon Valley models but with far fewer chips, sent Nvidia shares down some 17 per cent when the Nasdaq opened this week. That erased almost $US600 billion ($1 trillion) in market value from the company.

The sell-off permeated across the semiconductor sector, which fell 9.2 per cent in its biggest single-day decline since the COVID-19 pandemic.

Exchange-traded fund provider Global X warned that Nvidia's share price could fall to as low as $US100, from $US118.58 last night, as markets adapt to the prospect of cheaper methods to advance AI. "This could be a prolonged impact as market adapts to the new norm," said Global X strategist Billy Leung. "This is a key moment, not just a headline event. The risk/reward scenario doesn't favour a buy the dip mentality yet."

Australian investors – fund managers and superannuation funds – held at least $28 billion in Nvidia shares even after the 17 per cent fall, according to publicly disclosed positions analysed by VanEck. That figure could be significantly higher as not all funds make their holdings public.

Hostplus chief investment officer Sam Sicilia said the violent sell-off reinforced the importance of maintaining a highly diversified investment portfolio across and within asset classes

"For any high-performing stock, a decline at some point is inevitable," Mr Sicilia said. "Although this decline may have occurred sooner than some market watchers anticipated, the question now is if and when there might be a rebound, and what the impact on the broader market will be."

Superannuation funds have built up their exposure to international equities to nearly $890 billion, or 34 per cent of all funds, according to MST Marquee. A large portion of that money has flowed through Nvidia.

Using Nvidia's 4.7 per cent global index weighting as an estimate, super funds alone could be exposed to as much as $42 billion. Monday's 17 per cent plunge would have erased $6.7 billion of pension wealth in a single session.

Australia's growing allocation to equities has been funded by a decline in cash positions – institutional funds took out $36 billion from their stash in the six months to September, leaving their allocation at a record low.

The dynamic has raised fears that a huge buyer of Wall Street's tech giants won't be able to step in and buy the stocks if a sell-off eventuates.

AustralianSuper held about $2 billion of Nvidia shares in its balanced investment option based on the most publicly available figures, where the majority of members have their retirement savings.

Paul Schroder, chief executive officer of Australia's biggest pension fund, called the DeepSeek development a "mid-cycle efficiency gain" in an interview with Bloomberg yesterday. "Somebody's come along and said 'we can do that much more cheaply'. We welcome competition, we welcome efficiency, we think there's tremendous opportunity."

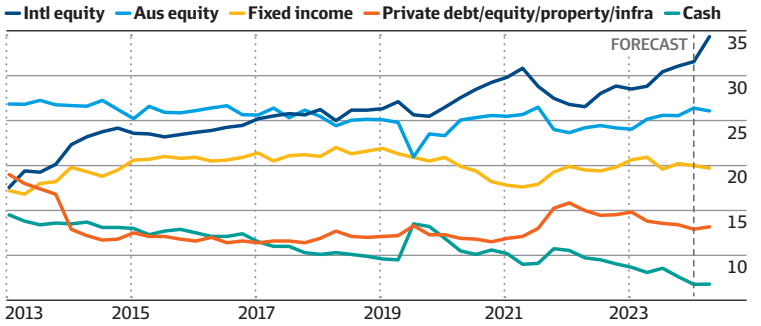
Janus Henderson's portfolio manager Richard Clode said the emergence of DeepSeek meant investors needed to assess who would benefit from the big spend in AI processing power.

"The market has rapidly shifted from concerns on AI capex being too high, to now worrying that AI capex is going to collapse," said Mr Clode. "Both cannot happen simultaneously, and the truth likely lies in between."

He added: "Ultimately, we think these developments are positive for the long-term health and development of AI."

Stocking up

APRA regulated superannuation fund allocations (%)



Datelines indicate September from each year

SOURCE: MST MARQUEE